

NovaSaaS Inc.

Investment Memorandum · Radice Capital Partners · March 2026

\$485M

ENTRY EV

18.5x

ENTRY EV/EBITDA

24.0%

BASE GROSS IRR

2.9x

GROSS MOM

5 Yrs

HOLD PERIOD

\$85M

GP CARRY

1 EXECUTIVE SUMMARY

Radice Capital Partners is evaluating the leveraged buyout of **NovaSaaS Inc.**, a B2B SaaS platform in workflow automation and AI document intelligence serving 850+ enterprise clients. The transaction is structured at **\$485m EV (18.5x LTM EBITDA)**, financed through a three-tranche debt package at 55% LTV with the balance funded by sponsor equity and a management rollover. The base case delivers a **24.0% gross IRR / 2.9x MoM** (20.5% net IRR) over a five-year hold, underwritten at a conservative **15.0x exit multiple — 3.5 turns below entry**. Returns are therefore generated by EBITDA growth and rapid deleveraging, **not** by multiple expansion.

RECOMMENDATION: PROCEED TO EXCLUSIVITY — RECOMMENDED BUY. The base case clears fund hurdles (20% IRR / 2.5x MoM) while assuming multiple compression. The downside case (~11% CAGR, 13.0x exit) still returns 1.7x MoM, preserving capital.

2 INVESTMENT THESIS

- **High-quality recurring revenue.** 118% net revenue retention and <12% gross churn underpin predictable free cash flow and debt serviceability across all downside scenarios; the ARR base provides ~12 months of revenue visibility.
- **Large, underpenetrated market.** \$28B TAM growing ~19% CAGR; NovaSaaS at <2% penetration — substantial organic runway complemented by bolt-on M&A optionality.
- **Disciplined operating plan.** EBITDA margin expands from **54.5% to 57.5%** by Year 5 (+0.6 pts/yr) through G&A operating leverage; revenue growth is modelled to **decelerate from 22% to 11%** (~16% CAGR) rather than held flat — a deliberately conservative base.
- **Returns independent of multiple expansion.** The base case underwrites a 15.0x exit vs. 18.5x entry. Value creation comes from ~2.2x EBITDA growth and deleveraging from 10.2x to 3.2x — the thesis does not rely on a richer exit multiple.
- **Management alignment.** Key executives roll **\$14.5m (3% of EV)** and the MIP pool allocates 10% of equity upside, incentivising the team to drive outperformance through to exit.

3 TRANSACTION STRUCTURE — SOURCES & USES

Sources & Uses (\$m)	\$M	% EV	Debt Tranche	x EBITDA	Rate
USES			Term Loan B	6.5x	8.8%
Purchase Enterprise Value	484.7	100.0%	Unitranche / 2nd Lien	2.8x	8.5%
Transaction Fees (2.0%)	9.7	2.0%	PIK Notes	0.9x	8.5%
Financing Fees (1.5%)	7.3	1.5%	Total Debt	10.2x	—
Total Uses	501.7	103.5%	Structure Notes		
SOURCES			TLB: 1% mandatory amort + 100% excess-FCF cash sweep		
Term Loan B (SOFR+350)	169.6	35.0%	Unitranche: bullet, repaid at exit		
Unitranche (8.5% fixed)	72.7	15.0%	PIK: accretes to principal at 8.5% p.a.		
PIK Notes (8.5% toggle)	24.2	5.0%	Leverage: 10.2x entry → 3.2x exit (Yr 5)		
Management Rollover	14.5	3.0%	SOFR modelled at 5.3% (implied all-in TLB 8.8%) — above current market levels; lower rates are upside.		
Sponsor Equity (residual)	220.5	45.5%			
Total Sources	501.7	103.5%			

4 FINANCIAL PROJECTIONS — BASE CASE (\$M)

	LTM	Y1	Y2	Y3	Y4	Y5
Revenue	48.0	58.6	69.7	80.8	91.3	101.4
Growth YoY	—	22%	19%	16%	13%	11%
Gross Profit (82%)	39.4	48.0	57.1	66.3	74.9	83.1
EBITDA	26.2	32.3	38.8	45.5	52.0	58.3
EBITDA Margin	54.5%	55.1%	55.7%	56.3%	56.9%	57.5%
D&A	(1.4)	(1.8)	(2.1)	(2.4)	(2.7)	(3.0)
Cash Interest	—	(21.1)	(20.5)	(19.4)	(17.8)	(15.6)
PIK Accrual	—	(2.1)	(2.2)	(2.4)	(2.6)	(2.9)
Net Income	—	5.5	10.5	16.0	21.6	27.6
Levered FCF (cash for debt service)	—	7.3	12.5	18.2	24.2	30.4
Net Leverage (x EBITDA)	10.2x	8.1x	6.5x	5.2x	4.1x	3.2x

LTM is the pre-acquisition standalone period and carries no LBO financing. Interest from the multi-tranche schedule on an opening-balance basis; PIK accrues at 8.5%. Cash taxes at 25% on positive EBT only. 100% of free cash flow after debt service sweeps the Term Loan B.

5 RETURNS ANALYSIS & CARRIED INTEREST WATERFALL

24.0% GROSS IRR	20.5% NET IRR	2.9x GROSS MOM	\$875M EXIT EV	\$688M EXIT EQUITY	\$85M GP CARRY
Distribution Tier (on sponsor proceeds)		\$M	% Eq.	Recipient	Notes
Return of Capital		220.5	34.1%	LP	Entry equity returned first
Preferred Return (8% p.a.)		103.5	16.0%	LP	Compounded over 5 years
GP Catch-Up (20%)		25.9	4.0%	GP	Full catch-up on preferred
LP 80% Residual		236.8	36.7%	LP	LP share post catch-up
GP Carried Interest (20%)		59.2	9.2%	GP	20% carry on profit
Total = Sponsor Exit Equity		645.9	100%	—	Sponsor 93.8% of \$688m total ✓
Scenario	Rev CAGR	Exit Mult.	Gross IRR	Net IRR	MoM
Upside	22%	16.0x	34.3%	29.9%	4.4x
Base Case ★	~16%	15.0x	24.0%	20.5%	2.9x
Downside	~11%	13.0x	11.1%	9.3%	1.7x

Net IRR derived from LP cash flows after an 8% compounded preferred return, full GP catch-up and 20% carry — not a flat haircut to gross. Sponsor returns reflect pro-rata dilution for the management rollover; the 10% MIP on gains is excluded (conservative).

6 SENSITIVITY ANALYSIS — GROSS IRR

Gross IRR across entry EV/EBITDA (rows) and exit EV/EBITDA (columns). Base case ★ at 18.5x entry / 15.0x exit ties exactly to the Returns tab.

Entry ↓ / Exit →	13.0x	14.0x	15.0x	16.0x	17.0x
16.5x	23.1%	25.4%	27.6%	29.6%	31.5%
17.5x	21.2%	23.6%	25.7%	27.8%	29.7%
18.5x	19.5%	21.8%	24.0%	26.0%	27.9%
19.5x	17.8%	20.1%	22.3%	24.4%	26.3%
20.5x	16.2%	18.6%	20.7%	22.8%	24.7%

Shading: teal ≥ 24%, light-teal 20–24%, neutral 14–20%. The deal clears the 20% hurdle across most of the entry/exit space, and remains above ~16% even at a punitive 20.5x entry / 13.0x exit.

7 KEY RISKS & MITIGANTS

Risk Factor	Severity	Mitigant
Execution — growth below plan	Medium	ARR gives ~12mo visibility; even the ~11% CAGR downside returns 1.7x MoM and preserves capital.
Leverage — 10.2x entry	Medium	100% cash sweep deleverages to 3.2x by exit; PIK toggle preserves ~\$2–3m/yr of cash; covenant-lite TLB.
Multiple compression	Low	Base already assumes 15.0x exit (19% below entry); EBITDA growth carries returns. 13.0x downside still 1.7x.
Rate risk — floating TLB	Low	SOFR modelled at a conservative 5.3%; each 100 bp lower adds only ~0.2 pts of IRR.
Key-person concentration	Low	\$14.5m rollover + 10% MIP align the C-suite; succession plans in place across key roles.
Technology — LLM disruption	Low	Proprietary LLM layer integrated since 2023; ~18-month product lead vs. nearest competitor.